

Advanced Marketing Strategy

Introduction

For class dated 3/26/2002

Components of Strategy

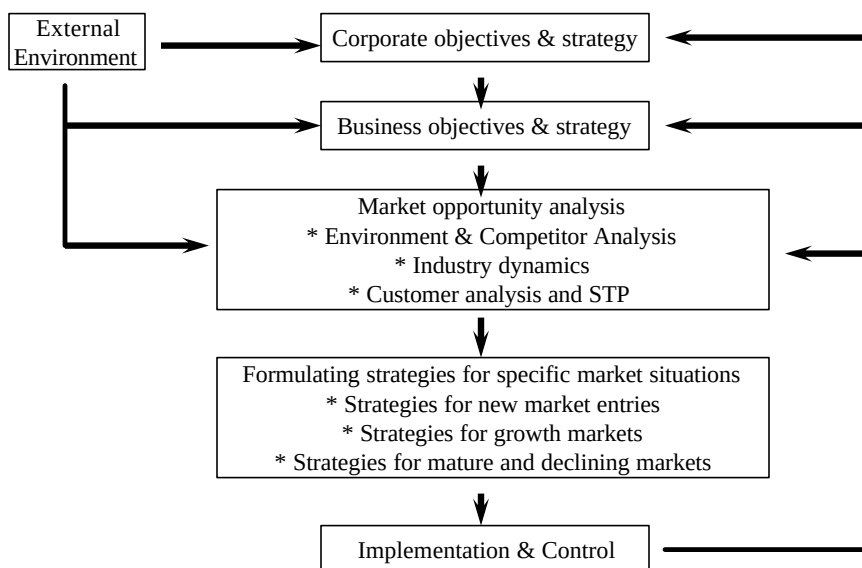
- **Scope**
 - Breadth of *strategic domain*: number and types of industries, product lines, market segments. Reflects company mission and *strategic intent* (vs. *Strategic fit*)
- **Objectives and Goals**
 - Desired level of accomplishment on one or more performance dimensions and the *growth vector*
- **Resources & their deployment**
 - Allocation of human, financial and other resources across businesses, markets, etc.
- **Competitive advantage**
 - What are the distinctive competencies or strengths relative to competitors?
- **Synergy**
 - Improving overall efficiency and effectiveness by exploiting synergies across businesses and product markets

By the Numbers X-Files, Inc.

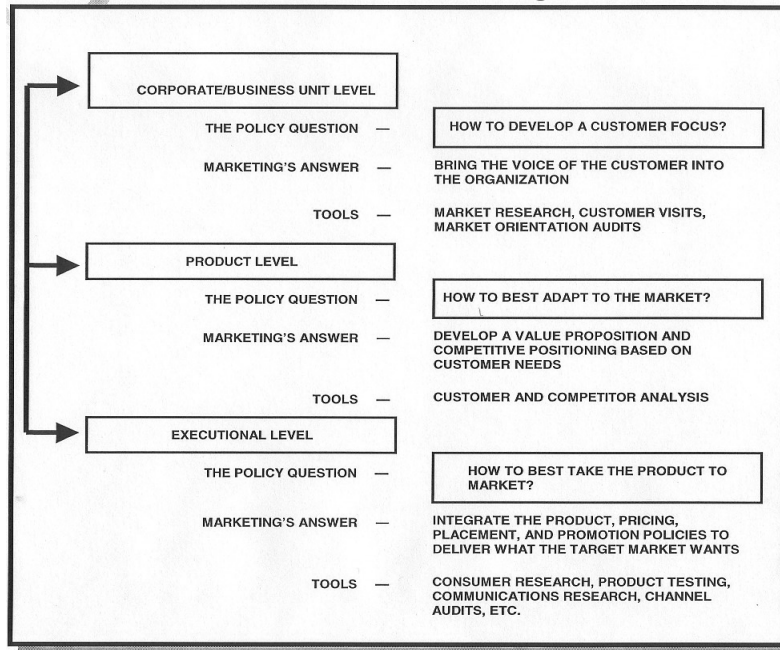
More than a hit show, The X-Files has become a profit generator for Rupert Murdoch that reaches all corners of his global media empire.

- \$ 900 million to \$1 billion. Estimate of total ad profits to Fox Broadcasting Co. from first runs of show through 1999-2000 season.
- \$2 million Per-episode license fee paid by Fox Broadcasting to sister producer company of X-Files, Twentieth Century Fox Television.
- \$600K Per-episode fee paid by Fox's FX cable network to Twentieth Century Fox Television for reruns of X-Files.
- \$60 million Estimated total barter advertising revenues to Twentieth Century Fox Television generated by syndication of X-Files reruns on Fox's 22 owned and operated television stations and independent affiliates.
- \$325 million Estimated total sales of X-Files to Murdoch-controlled and other foreign TV networks (including video sales).
- \$185 million Worldwide box office from X-Files feature film, Fight the Future, produced by Twentieth Century Fox Film Corp.

Formulating and implementing marketing strategy



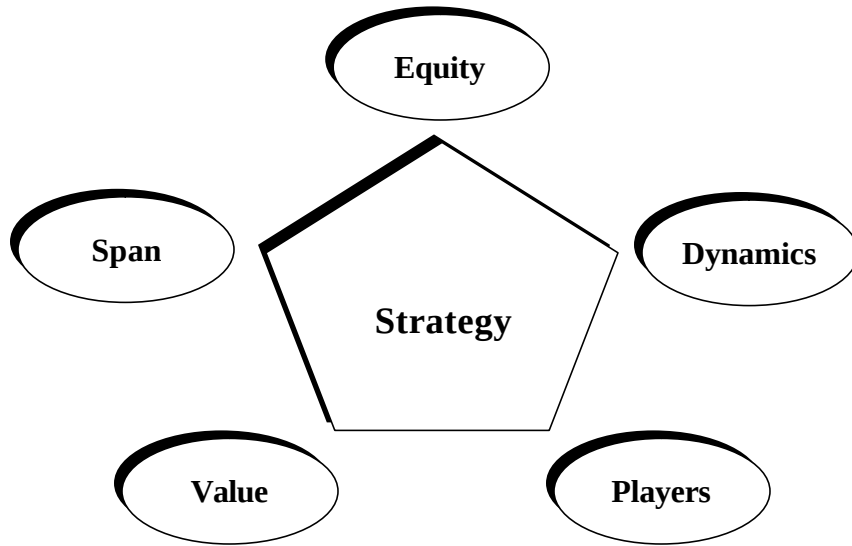
Role of Marketing



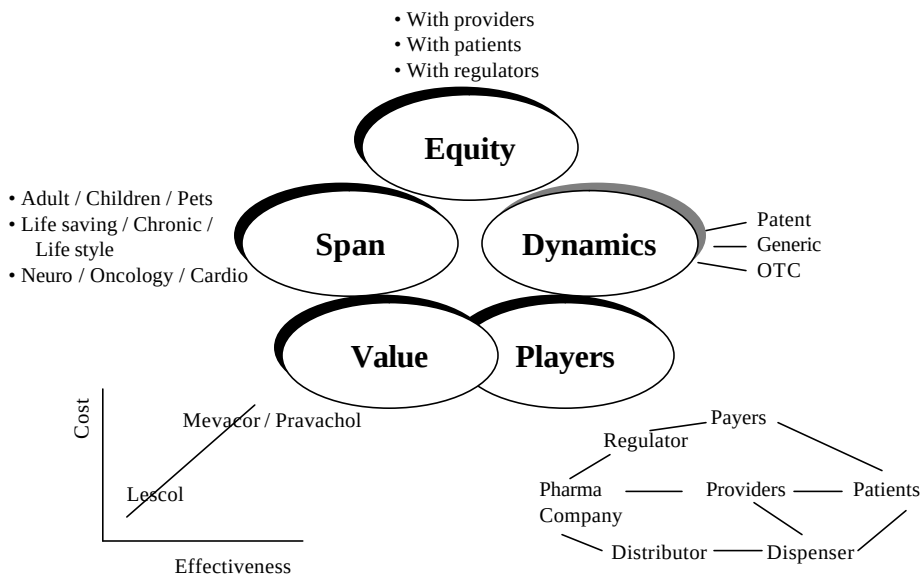
Strategic Environment Issue Management (SEIM)

1. Environmental scanning (group that continuously monitors the environment)
2. Key environmental issue identification. Determine
 - a) the probability that an issue will materialize and
 - b) impact on the firm
 - c) create an opportunity/threat matrix
3. Impact evaluation
 - (a) is it an opportunity or threat?
 - (b) how significant is the impact (% change in profits)?
 - (c) what is likely timing of impact (time horizon)?
 - (d) what specific marketing areas will it affect?
4. Formulation of a response strategy
 - Opposition strategy
 - Adaptation strategy
 - Offensive strategy
 - Redeployment strategy
 - Contingency strategy
 - Passive strategy

Brand “pentagon”

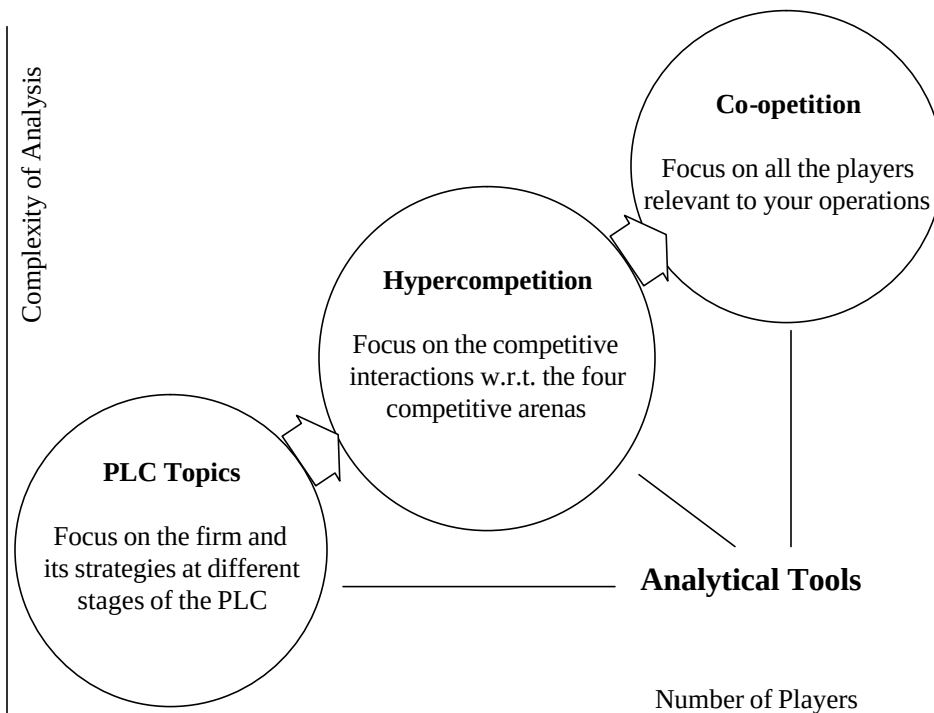


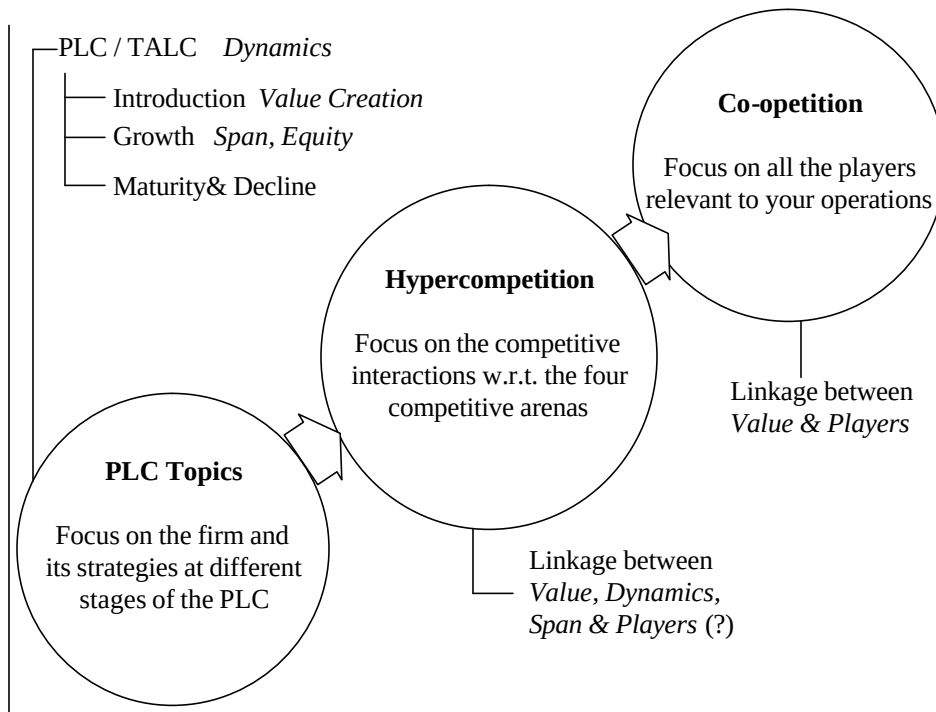
Brand “pentagon”



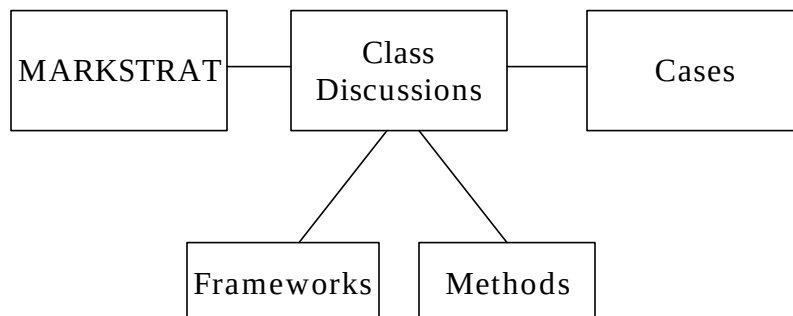
This Course

- Study the changing value proposition due to:
 - The “stage in the life cycle phenomenon” (PLC framework)
 - Value creation / development
 - Value sustaining / building
 - Value destruction / migration
 - The competitive landscape (Hypercompetition framework)
 - Cost / Quality
 - Timing & know-how
 - Strongholds
 - Deep pockets
 - The valuenet (Co-opetition framework)
- Measuring value
 - The price / perceived quality tradeoff
 - The lifetime value of customers



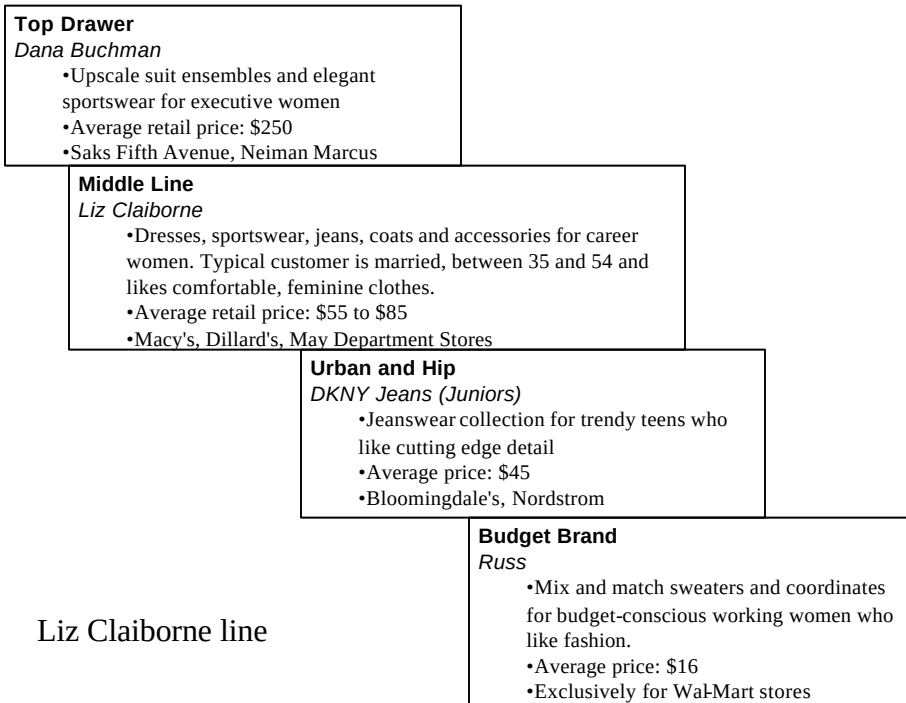


Course Structure



Evaluation

- Individual Case Write-Ups
(Any 3 + 1 for Substitution) = 3* 10% = 30%
- Class Participation = 10%
- Mark*Strat (Group) = 25%
- Final Paper (Group) = 35%



IBM Strategy Statement

- At IBM, we strive to lead in the creation, development and manufacture of the industry's most advanced information technologies, including computer systems, software, networking systems, storage devices and microelectronics.
- And our worldwide network of IBM solutions and services professionals translates these advanced technologies into business value for our customers.

HP Strategy Statement

- Our strategy is to focus HP's inventive capabilities across three key dimensions of the emerging technology landscape:
 1. enabling intelligent, connected devices and environments
 2. enabling an always-on Internet infrastructure
 3. enabling a new generation of applications delivered as e-services.
- By understanding the relationship among these three, we can help transform the experiences people have with technology and the role it plays in business and life.

